

THE THEORY OF WANTS

Demand and Consumer Behavior

Theory of consumer behavior

1. **Law of marginal utility.** Utility means satisfaction. Of a consumer whenever he consumes one more unit of the same good. Consumption of more successive units of the same good increases total utility, but at a decreasing rate because marginal utility diminishes. For example, 1 cone of ice cream gives satisfaction to the individual. Consumption of another cone of ice cream of the same kind gives an additional satisfaction. Again he consumes the third cone of ice cream of the same kind. His total satisfaction has increased by consuming 3 cones of ice cream in just one sitting. But his additional satisfaction from the third cone of ice cream is lesser than his additional satisfaction from the second cone of ice cream.
2. **Indifference curve.** The word “indifference” means showing no bias or neutral. Supposing there are five combinations of two products (like meat and fish): the first combination constitutes 5 kilos of meat and 1 kilo of fish while another combination is composed of 5 kilos of fish and 1 kilo of meat and so on. Since all the combinations give the same satisfaction or utility, the consumer would be indifferent as to which combination he receives. This means any combination would be desirable to him.

The Law of Demand and Supply

Demand

Demand is the schedule of various quantities of commodities which buyers are willing and able to purchase at a given price, time, and place.

Determinants of demand explained

1. **Income** – people buy more goods and services when their incomes increase. Poor people who become rich naturally purchase more basic goods like food, clothing and shelter; and services like recreation, medicare and education.
2. **Population** – more people means more demand for goods and services. There are more consumers in an urban community than in a rural community.
3. **Tastes and preferences** – demand for goods and services increases when people like or prefer them. Such tastes or preferences are greatly influenced by advertisement or fashion. On the other hand, if a certain product is out of fashion, the demand for it falls.
4. **Price expectation** – when people expect the prices of goods especially basic commodities like rice, soap, cooking oil, or sugar to increase tomorrow or next week they buy more of these products.
5. **Prices of related goods** – when the price of a certain product increases, people tend to buy a substitute product (competitor). For example, if the price of tide increases, consumers buy less of tide and more of the other close substitutes like breeze.

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The law of demand

Consumers are most likely to buy more goods and services as price decreases, and buy less goods and services as price rises. This is the law of demand. Such general tendencies of consumers can be explained by two reasons:

1. **Income effect.** At lower prices, an individual has a greater purchasing power. This means he can buy more goods and services. But at higher prices, naturally he can buy less.
2. **Substitution effect.** Consumers tend to buy goods with lower prices. In case the price of a product that they are buying increase, they look for substitutes whose prices are lower.

Validity of the law of demand

The law of demand states: as price increases, quantity demanded decreases, and as price decreases, quantity demanded increases. Such theory is only true if the assumption of ceteris paribus is applied. It means "all other things equal or constant." The law of demand is correct if the determinants of demand are held constant; that is there is no change in income, taste or population.

Changes in demand vs. changes in quantity demanded

Changes in demand refer to changes in the determinants of demand like income, population, price expectation and so forth.

Supply

Supply is the schedule of various quantities of commodities which producers are willing and able to produce and offer at a given price, place and time.

Determinants of supply explained

1. **Technology.** This refers to the techniques or methods of production. Modern technology-which uses a modern machine increases supply of goods.
2. **Cost of production.** In producing goods, raw materials are needed, together with laborers. If the price of raw materials or the salaries of laborers increase, it means higher cost of production.
3. **Number of sellers.** More sellers or more factories mean an increase in supply. Smaller number of sellers or factories means less supply.
4. **Prices of other goods.** Changes in the price of goods affect the supply of such goods. For example, a decrease in the price of rice may likely encourage a rice farmer to produce more corn if this gives him more profit.
5. **Price expectations.** If producers expect prices to rise very soon, they usually keep their goods and then release them in the market when the prices are already high.
6. **Taxes and subsidies.** Certain taxes increase cost of production. Higher taxes discourage production because it reduces the earnings of businessmen.

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Law of supply

As price increases, quantity supply also increases, and as price decreases, quantity supply also decreases. This direct relationship between price and quantity supplied is the law of supply. Producers are willing and able to produce and offer more goods at a higher price than at a lower price. However, the law of supply is only correct if we apply the assumption of *ceteris paribus*. This means the law of supply is valid if the determinants of supply like cost of production or technology are held constant.

The law of supply and demand

In the market, supply and demand interact freely. Supply is represented by producers or sellers while demand is represented by buyers. Producers are willing and able to offer more goods at higher prices. This is the law of supply. On the other hand, buyers are willing and able to purchase at lower prices. This is the law of demand.

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